

Downward Breakouts

	Bull Market
Reversal or continuation	Short-term bearish reversal
Performance rank	22 out of 36
Breakeven failure rate	23%
Average drop	15%
Volume trend	Upward
Pullbacks	64%
Percentage meeting price target	29%

What impresses me most about ascending scallops is how poorly they perform. I consider well-behaved patterns as those with breakeven failure rates below 10%. In bull markets with downward breakouts, 23% fail to decline more than 5%. Upward breakouts perform better, but the 11% and 18% failure rates do not inspire confidence. The average rise or decline is also below par for both breakout directions. That's backed up by the performance rank, which is mid-list to near bottom of the list.

Perhaps the only redeeming quality of ascending scallops is their ability to predict the end of the trend.

That's invaluable. That's worth paying attention to.

Some scallops get narrower and shorter when compared with prior scallops in a series. For example, in a line of three ascending scallops, the first one will be wider and taller than the last one. Also, a downward breakout from a scallop perched at the summit (the end of an upward price trend) is bearish and usually means a trend change.

Let's see what these patterns look like, and maybe we'll explore these peculiarities.

Tour

[**Figure 57.1**](#) shows three ascending scallops, with the first one being an especially wide one. It looks like a rounding bottom except that the minor